

Speciality Restaurants Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: SPECIALITY · Report prepared 20 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

Speciality Restaurants owns and runs about 121 eating places in India — sit-down restaurants (Mainland China, Asia Kitchen, Gong, Oh! Calcutta, Siciliana), delivery-only kitchens (Haka) and small takeaway shops (Sweet Bengal sweets, Walters Burger) — plus a handful of overseas outlets run by franchise partners who pay it 6% of their sales as royalty.

Item	Number	What it means in plain words
Market capitalisation	₹693 crore	A small company. The whole business is worth about ₹5.7 crore per outlet.
Share price / 52-week range	₹142 (₹167 – ₹83)	The price has nearly doubled off its low. Volatile, thinly-followed stock.
Price-to-earnings ratio	26.2	You pay ₹26 for each ₹1 of last year's profit. Not cheap for a business growing profit in single digits.
Book value per share	₹71.9	Accounting net worth. The share trades at about 2× that.
ROCE (return on capital employed)	9.76%	The key weakness. Every ₹100 tied up in the business earns under ₹10 a year before tax. Indian borrowing costs are roughly 9–10% and equity investors want more — so the business earns about what its capital costs, and no more.
FY26 sales / operating profit	₹454cr / ₹84cr	Operating profit margin 18.5%. Sales up 79% in four years (from ₹253cr in FY22); operating profit up 95%.
FY26 net profit	₹23 crore	The puzzle. ₹27cr (FY24), ₹21cr (FY25), ₹23cr (FY26) — three flat years while sales grew. Explained below.
Cash / treasury (Mar 2026)	₹162cr (net ₹103cr)	Nearly a quarter of the market value sits in mutual funds and an InvIT. No bank debt. Expansion is self-funded.
Promoter holding / dividend yield	50.71% / 0.70%	Founder family (Anjan Chatterjee) holds control; son Avik Chatterjee became CEO in FY27. Pays out about a fifth of profit.

Why ₹84 crore of operating profit becomes ₹23 crore of net profit

Restaurants pay rent, and rent is the second-biggest cost in the business after food. But under the accounting rule **Ind AS 116**, a long restaurant lease is no longer treated as rent at all. The company must pretend it *bought* the shop for the length of the lease: the lease goes onto the balance sheet as an asset and a matching liability, and the rent then comes back through the profit statement in two disguised pieces — **depreciation** (writing the leased shop down) and **interest** (on the lease liability). The line called "operating profit" is therefore struck *before* rent, which flatters it badly.

FY26 walk-down	₹ crore	Plain read
Sales	454	—
Operating profit (before rent)	84	18.5% of sales. This is the number Screener and most screeners show.
Other income (treasury)	+14	Interest and gains on the ₹162cr investment pot. Not restaurant profit.
Depreciation	–54	Mostly the leases, plus real wear on kitchens and fit-outs. Was ₹27cr in FY22 — it has doubled.
Interest	–15	Almost entirely lease interest. The ₹140cr of "borrowings" on the balance sheet is lease liability, not bank debt.
Profit before tax	29	6.4% of sales. Depreciation plus interest ate 82% of the operating profit.
Net profit	23	5.1% of sales, after 22% tax.

The cross-check comes from management itself. The CFO gave the actual cash rent bill for FY26 as **"roughly around ₹73 crores, ₹74 crores"** — about 16% of sales, almost exactly the ₹69cr of depreciation-plus-interest. He also reports *two* EBITDA numbers on every call. (EBITDA = earnings before interest, tax, depreciation and amortisation; roughly cash operating profit.) For the December 2025 quarter: **"If you look at EBITDA post-IndAS, it is 24.89% during the quarter... the EBITDA margin improved to 12.75% from 11.85% on last year on an operational basis."** The 12.75% is the honest one — after rent. The 12-point gap between the two is the rent. So the business earns roughly 18% on sales before rent, rent takes 16 points, and a low-single-digit margin is what remains. That is why revenue can rise 79% and net profit stand still.

And the ₹96 crore of FY23 was not real trading profit. Profit before tax was ₹62cr, yet net profit was ₹96cr — a tax rate of *minus* 54%, a roughly ₹34cr credit rather than a charge. That is the company finally booking a deferred-tax asset against the losses it piled up in six straight loss years, FY16–FY21. A one-time entry, never to repeat. **Anyone drawing a profit trend line through FY23 is drawing a false line.** The real trend is ₹14cr → ₹27cr → ₹21cr → ₹23cr.

2 Concall coverage

Quarter	Call date	Transcript read?
Q1 FY27	11 Aug 2026	Yes — read in full, line by line
Q4 & FY FY26	20 May 2026	Yes — read in full
Q3, Q2, Q1 FY26	11 Feb 2026 · 17 Nov 2025 · 6 Aug 2025	Yes — all three read in full
Q4, Q3, Q2, Q1 FY25	13 May 2025 · 3 Feb 2025 · Nov 2024 · 7 Aug 2024	Yes — all four read in full
Q4 & FY FY24	15 May 2024	Yes — read in full
FY16–FY18 (6 calls)	2016 – 2017	Obtained; skimmed for long-run context only

Screener.in lists 22 earnings calls; 16 transcripts were obtained. The 10 calls covering FY25 to Q1 FY27 — the period this report judges — were read in full. The other 6 are 2016–2017 vintage, pre-dating both the current strategy and the pandemic shutdown of 29–32 outlets, and were used only for background. Calls are hosted by ICICI Securities and attendance is thin (5–8 questioners, several of them individual investors), so much of the useful detail surfaces only because retail shareholders keep asking the same awkward questions.

2b Latest concall highlights

Latest concall highlights — Q1 FY27 (call Aug 2026)

- **Same-store sales growth was +11.35%**, up from +1.49% for the whole of FY26. *Same-store sales growth (SSSG) means the sales increase at outlets that were already open a year ago — it strips out the flattering effect of new openings.* This is the single most important number in the quarter, and it is the first genuinely strong SSSG print in this company's post-pandemic record.
- **Sales ₹121.62cr vs ₹103.06cr, up 18%.** Operating profit ₹23.67cr vs ₹18.02cr; margin 19.46% vs 17.48%. Net profit ₹6.89cr vs ₹5.68cr, up 21%. *Plain read: because SSSG did the heavy lifting rather than new stores, the extra sales dropped through to profit — existing kitchens and staff absorbed the volume.*
- **Gross margin improved to 71.1% from 69.9%**, credited to portion control, vendor negotiation, and switching kitchens from gas to electric induction (₹1.12cr spent, ~300 imported wok-induction sets) after the LPG supply scare of early 2026. A price increase was taken to offset the removal of the service charge from 7 June 2026.
- **Delivery is now 29% of revenue** (24–25% through FY26, 5–6% before the pandemic). Dine-in still grew in absolute terms, ₹71cr to ₹81cr. Aggregator commissions (Swiggy/Zomato) cost about 5% of total revenue.
- **The whole brand portfolio is being collapsed into three verticals** — Oriental, Italian, and QSR (quick-service restaurants). CEO Avik Chatterjee: *"going forward, we will also be seeing a lot of the older brands going away from our portfolio."* That includes, by implication, Oh! Calcutta, Riyasat, Flame & Grill and Episode One, which will be run but not grown.

- **The FY27 outlet target was publicly walked back on this call.** Three months earlier management had promised 32 new outlets and 150 total. Asked about it, the CFO said: "Sorry, I don't know where from you have gathered the number of 32. We are not working towards opening 32 stores in this financial year." See section 4.

2c Business mix & capacity

Channel split (Q1 FY27): dine-in 71% · delivery and takeaway 29%. Management insists it is a dine-in company and that delivery is "an offshoot from our existing restaurants" — most delivery goes out of the same kitchens ("kitchen within a kitchen"), so a single Mainland China site also fulfils Asia Kitchen, Gong and Haka orders.

Outlet count: 121 outlets at 31 March 2026 (management figure), of which **11 are cloud kitchens** — a cloud kitchen is a delivery-only kitchen with no dining room. That is down from 12 cloud kitchens in Nov 2024; the CEO says pure cloud kitchens have "taken a backseat." Mainland China itself: about 35–36 outlets, versus 31 in FY22 — four or five added in four years. Walters Burger, the burger QSR chain: **3 physical stores plus 2 cloud kitchens** as of Aug 2026, contributing **1.3% of quarterly revenue**. Sweet Bengal (sweets shops): roughly 9.5–10% of revenue, about ₹10cr in a quarter. Seven overseas franchise outlets (Dubai, Abu Dhabi, Muscat) pay 6% royalty; no company capital involved.

Brand ladder by average spend per person (management, May 2026): Gong ₹2,500–3,000 · Mainland China ₹1,250 · Siciliana (Italian) ₹1,200–1,300 · Asia Kitchen ₹1,050–1,100 · Haka (delivery-only) ₹600 · Walters ₹700 order value · Sweet Bengal ₹400. Liquor is 8–9% of group revenue; Episode One 40%, Gong 38%, Siciliana 25%.

Cities: Mumbai biggest by far, then Kolkata; Pune present, Bangalore small, Delhi being rebuilt post-pandemic, Chandigarh added Oct 2025; North India exposure explicitly low. **Capacity utilisation is not disclosed and management declines to track it** — CFO, Q1 FY27: "we don't look at a matrix as far as what is the total capacity utilisation per day for our restaurants." All that is given: weekends run above capacity, weekdays are the problem, the weekend/weekday split is roughly 55/45. **No outlet table by brand, format or city is published.** For a chain whose story is store expansion that is a real disclosure gap, and analysts complained about it on each of the last two calls.

3 Earning-trigger thesis

Is there a real earning trigger here?

Yes, and it is narrower than management's own story. Forget the outlet count: this company has added almost no net outlets in four years and its expansion promises keep shrinking (section 4). The genuine trigger is **the renovation of its own ageing restaurants**. Mainland China outlets that had gone 10–11 years without a refit were re-done as "Mainland China 2" with a visible bar, and where that happened sales jumped. That is what turned same-store sales growth from +1.49% for FY26 into +11.35% in Q1 FY27; because it needs no new rent, no new overhead and only about ₹2 crore per store, almost all the extra revenue falls through to profit — exactly what Q1 shows (sales +18%, net profit +21%, margin 17.5% to 19.5%). Two smaller, slower levers sit on top: pushing liquor from 8–9% of sales towards the 25–38% newer formats already achieve, and grinding overhead from 6–7% of sales to 4%. Against that, return on capital is still under 10%, and every new leased restaurant adds depreciation and lease interest that swallow four-fifths of the operating profit it generates. **The trigger is real and visible in the numbers, but it is two data points old and the base it is measured against was almost zero.**

Trigger	What management said	Evidence so far	Time horizon	Strength
Same-store sales growth turning to double digits	May 2026, Anjan Chatterjee: "you will see an SSG growth... it is going to be double digit going forward."	April 2026 +11.57%; Q1 FY27 +11.35%. Delivered in the very next quarter, and confirmed by revenue +18% and margin +2 points.	Already visible; needs 3 more quarters	Strong
Renovating 10–12-year-old restaurants ("Mainland China 2")	May 2024: capex "around ₹2 crores per store" for a "25% overall revenue jump"; five done so far, more each year.	Management directly credits renovation for the SSSG turn. Cheap, self-funded, high return — but the number of remaining candidates is finite and undisclosed.	2–3 years	Medium
Liquor mix rising from 8–9%	Aug 2026: every renovated outlet gets a visible bar; "liquor sale is going to be a big focus for us." Gong already 38%.	Group average unchanged at 8–9%. Directionally credible (liquor carries far higher margin) but not yet in the numbers.	2–4 years	Medium
Operating leverage on fixed corporate cost	May 2026: corporate cost "used to be 6%, 7% is now at 4%" and will keep stepping down.	After-rent EBITDA margin 3.9% (Q4 FY25) → 6.2% → 7.1% → 12.75% (Q3	2–3 years	Medium

		FY26). Genuine, and the main reason profit is finally moving.		
Delivery mix 24% → 29%, Haka delivery-only brand	Aug 2026: <i>"we continue to see this rise in the times to come."</i>	Real and growing off existing kitchens, so incremental. But aggregators take ~5% of all revenue and the mix shift is margin-dilutive at the gross level.	Now, ongoing	Medium
New outlets: 8–10 restaurants + 10–15 Walters a year	Aug 2026 (after walking back a bigger number).	121 outlets; count roughly flat for two years; CFO names skilled-manpower shortage as <i>"the biggest and the only constraint."</i> Walters is 5 outlets and 1.3% of revenue.	FY27–FY29	Weak
Sweet Bengal as a packaged-food business	Aug 2026: <i>"we have been able to crack a 30-day shelf life... we will be in many new markets."</i>	The same promise has been made on nearly every call for two years, and by shareholders' account for 13. Revenue stuck near 10% of the group. Nothing shipped.	Unproven	Weak

4 Management consistency scorecard

Period	Promised	What happened	Verdict
May 2024	Triple revenue over six years at 25% margins; <i>"minimum of 25 new restaurants"</i> in three years.	Tripling in six years needs ~20% a year. FY24 ₹393cr → FY26 ₹454cr is +15.5% in two years, about 7.5% a year — roughly a third of the required pace. Margin has sat at 17–18%, never near 25%.	No
Aug 2024	New restaurants <i>"take anywhere between 9 to 12 months to break even."</i>	By Aug 2025 the same CFO said <i>"3 to 6 months"</i> ; by May 2026, <i>"4 to 6 months."</i> Payback was separately given as <i>"3 to 5 years"</i> (Feb 2025). No store-level data is published, so the improvement cannot be checked — and was never explained.	Unverifiable
May 2025	FY26 revenue growth <i>"at least... 10% to 15%."</i>	Actual FY26: ₹413cr → ₹454cr, +9.9% — just under the bottom of the range. To their credit they flagged the shortfall in advance (Nov 2025: <i>"whether we will be able to achieve 15%, but we would be lower to that number"</i>).	Missed
Nov 2025 & Feb 2026	<i>"8 to 10 restaurants in a 12-month period"</i> plus 3–5 Walters.	Consistent across both calls, and consistent with actual history. This is the honest, repeatable number.	Yes
May 2026	<i>"this year itself, we have scheduled to launch 8 new restaurants, 15 new Walters and 10 new Sweet Bengals. So that makes almost 32 new outlets";</i> capex ₹37cr; <i>"we are 121 as on 31st March... we would be touching 150 numbers."</i>	Disowned three months later on the very next call: <i>"I don't know where from you have gathered the number of 32. We are not working towards opening 32 stores in this financial year. We continue to maintain 8 to 10 restaurants."</i> The 150-outlet target was not mentioned again. Worse, the same Aug 2026 call contradicted itself internally: the CFO said 10–15 new Walters, the CEO said <i>"5 new stores coming up by the end of this year."</i>	No
May 2026	FY27 revenue growth <i>"15%. Maybe more";</i> ₹600cr top line — <i>"Inshallah, yes."</i>	Q1 FY27 delivered +18%, so the run-rate supports it. But asked to confirm ₹600cr in Aug 2026 the CFO retreated: <i>"I would like to refrain, but yes, we are working hard to see good percentage growth."</i> Numbers on track; the willingness to stand behind them is not.	On track, disowned
Aug 2025 → Aug 2026	Walters Burger to reach <i>"total into 20 stores"</i> during FY27.	One pilot store Aug 2025; 3 physical stores plus 2 cloud kitchens a year later; 1.3% of quarterly revenue. The CEO's own revised figure is 5 new stores this year, i.e. about 10 total — half the promise.	No
FY25 → FY27	Sweet Bengal to become a real vertical — new cities, rebranding, FMCG packaging.	Feb 2025: <i>"we don't want to add another load."</i> May 2026: rebranding <i>"has been delayed quite some time."</i> Aug 2026: shelf life extended to 30 days, new markets <i>"in the times to come."</i> Revenue ~₹40cr a year, ~10% of group, essentially flat. Shareholders have asked this on four separate calls.	No

Nov 2025	A new CEO appointment <i>"should happen in a couple of months' time."</i>	Delivered: Avik Chatterjee (the founder's son, in the company since 2014) was announced as CEO on the May 2026 call — a family promotion, not the external hire some listeners had inferred.	Yes
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Narrative drift. The drift runs one way: **the growth story keeps getting relabelled while the outlet count barely moves.** FY25's story was "triple revenue in six years" plus 25 new restaurants; it quietly disappeared. It was replaced by a brand-count story — Gong, Bizarre Asia, Siciliana, Walters, Haka — in which each new format got an enthusiastic launch and then went unmentioned (an investor had to ask twice about Bizarre Asia because *"there was no information in the coming con call"*). FY26's story became a store-count story: 32 new outlets, 150 total — denied three months later. The FY27 story is now **brand rationalisation**, three verticals with older brands dropped: arguably the right strategy, but the exact opposite of the brand-proliferation story of two years earlier, and nobody on the call asked management to reconcile the two. The one constant, to their credit, is the 8–10-restaurants-a-year figure the CFO gives whenever no analyst is dangling a bigger number in front of him — which is also, awkwardly, about the rate at which outlets get closed or converted, and why 121 has been roughly the number for two years. One further soft spot: on the May 2026 call the CFO gave restaurant-level EBITDA of 22%, rent of 21% of revenue, and post-rent restaurant EBITDA of 15%. Those three numbers cannot all be true.

5 Bottom line

VERDICT 1 — EARNING TRIGGER: YES, but it is one quarter old and it is not the trigger management advertises.

The trigger is the renovation of the company's own tired restaurants, not the opening of new ones. Same-store sales growth went from +1.49% for all of FY26 to +11.35% in Q1 FY27, and because that growth arrives inside kitchens that already exist — no fresh rent, no fresh overhead, about ₹2 crore of capital per refit — it converts to profit with unusual efficiency: sales +18%, operating margin 17.48% to 19.46%, net profit +21%. Add a falling corporate-cost ratio (6–7% of sales to 4%), a rising liquor mix in every refitted outlet, and ₹162cr of treasury with no bank debt funding the ₹40cr capex, and there is a credible path to the ₹600cr revenue management hinted at. **Three honest caveats.** First, the SSSG evidence is two data points (April 2026 and Q1 FY27) measured against a near-zero base, and part of it is price increase rather than more customers — a 4% price rise was taken in FY26 and another to offset the abolished service charge in June 2026. Second, the stock of un-renovated restaurants is finite and management has never said how many are left, so this lever has an end date nobody has disclosed. Third, ROCE at **9.76%** means the business is still only earning about what its capital costs; every additional leased restaurant brings depreciation and lease interest that consume roughly four-fifths of the operating profit it produces, which is precisely why nine years of these calls have not produced a rising profit line. At 26 times earnings you are paying for the trigger to keep working for several years, not one quarter.

VERDICT 2 — MANAGEMENT CONSISTENCY: NO. Expansion targets get announced, then denied.

The clearest single fact in this report is that in May 2026 management said it had *"scheduled to launch 8 new restaurants, 15 new Walters and 10 new Sweet Bengals... almost 32 new outlets"* and would take the estate from 121 to 150 outlets — and on the very next call, three months later, the CFO said *"I don't know where from you have gathered the number of 32. We are not working towards opening 32 stores in this financial year."* That is not a revision, it is a disavowal, and it was not volunteered. The pattern repeats: Walters Burger was to reach 20 stores and is at five; Sweet Bengal has been about to become a packaged-food vertical for years and is still a tenth of revenue; the FY24 promise to triple revenue in six years runs at a third of the needed pace and has stopped being mentioned; new-restaurant break-even migrated from 9–12 months to 3–6 months with no explanation. Management is genuinely candid on operating detail — it volunteers same-store sales growth, gross margin, cash rent, corporate cost and channel split, reports an after-rent EBITDA alongside the flattering accounting one as many peers do not, and flagged the FY26 revenue shortfall before it happened. But on the size and pace of expansion, and on the disclosure a store-expansion story most needs (outlets by brand and city, utilisation, renovation pipeline), the numbers change with whoever is asking. **Take the operating disclosure at face value; treat every outlet-addition figure as a ceiling, not a plan.**